

opposite business model of Knight sbridge. It has the largest oil tanker fleet in the world, among all the public companies. The entire fleet is on the spot market. There are very few long-term leases.

Because it rides the spot market on these tankers, there is no such thing as earning forecasts or guidance. The company's CEO himself doesn't know what the income will be quarter to quarter. This is great, because whenever Wall Street gets confused, it means we likely can make some money. This is a company that has widely gyrating earnings.

Oil tanker rates have ranged historically from \$6,000 a day to \$100,000 a day. The company needs about \$18,000 a day to breakeven. Once rates go below \$18,000 a day, it is bleeding red ink. Once they go above \$30,000 to \$35,000, it is making huge profits. In the third quarter of 2002, oil tanker rates collapsed. A recession in the United States and a few other factors caused a drop in crude oil shipping volume. Rates went down to \$6,000 a day. At \$6,000 a day Frontline was bleeding red ink, badly. The stock went from \$11 a share to around \$3, in about three months.

Frontline had about 70 VLCCs at the time. While the daily rental rates had collapsed, the price per ship hadn't changed much, dropping about 10 percent or 15 percent. There is a fairly active market in buying and selling oil tankers. Frontline had a tangible book value of about \$16.50 per share. Even factoring in the distressed market for ships, you would still get a liquidation value north of \$11 per share. The stock price had gone from \$15 to \$3 in short order (see [Figure 13.2](#)). Frontline was trading at less than one-third of liquidation value.

But what about the heavy losses? Wasn't the liquidation value declining? Frontline had plenty of cash and liquidity. It could handle \$6,000 per day rates for several months without a liquidity crunch. Also, if it sold a ship, it would raise \$60 million. The total annual interest payments were \$150 million. It could sustain the business at \$6,000 a day rates for several years by simply selling two to three ships a year.

Figure 13.2 Frontline's Highly Irrational Pricing in Q3 2002

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